

Macro Three Replication Project: Investigating the Economic Impact of the CFA Franc Zone with Synthetic Control Methods

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Due: 29 May 2026

1 Replication Target

In this project, we aim to replicate the findings of *From the French franc to the euro, is there an economic impact for the CFA franc zone countries? A 'bias-corrected' synthetic control method* by Alassane Diallo and Adama Ba, published in Cogent Economics & Finance in 2024. This paper assesses the impact of pegging the CFA franc to the euro on real GDP per capita in the West African Economic and Monetary Union (WAEMU) and the Central African Economic and Monetary Community (CAEMC) countries. The original study uses a set of 35 annual country-level panel data from 1980 to 2019 and applies synthetic control methods to estimate the counterfactual economic outcomes for member countries.

2 Data

Table 1: Variables

Variable	Type	Category	(First) Page Ref	Possible Source
Real GDP per capita	Continuous	Outcome	6	WDI, PennWorld
Lagged GDP per capita	Continuous	Lagged outcome	10	WDI, PennWorld
Gross Fixed Capital Formation (% GDP)	Continuous	Capital	10	
Government expenditure (% GDP)	Continuous	Fiscal	10	WDI, PennWorld
Official Development Assistance (% GDP)	Continuous	External	10	Source not listed
Foreign Development Investment (% GDP)	Continuous	External	10	WDI
Employment rate	Continuous	Labour	10	WDI
Agriculture (% GDP)	Continuous	Structure	10	WDI, PennWorld
Industry (% GDP)	Continuous	Structure	10	WDI, PennWorld
Governance / institutional quality		Index	Institutions	10
Political regime characteristics	Categorical/Index	Institutions	10	Polity5 Dataset
Inflation	Continuous	Macro controls	5	WDI, PennWorld
Euro peg dummy	Binary	Treatment		Authors
Synthetic GDP per capita	$\tilde{Y}_{it}$	Continuous	Constructed	
Treatment effect	τ_{it}	Continuous	Constructed	